20STCV03704 20STCV03704

County: los-angeles

Division: Civil Law and Motion

Department: 1

Hearing date: 2026-08-07

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SS%20%2C1%2C08%2F07%2F2026

Source SHA-256: 5c2e232426fc5c39b3822a1d42655f5fb7396c7d4ad2d45b8e2fa2d465c28434

Case Number: 20STCV03704 Hearing Date: August 7, 2026 Dept: 1

Tentative Ruling

Judge Theresa M. Traber, Department 1

HEARING DATE: August 7, 2026

CASE: I
Think I Got It, LLC et al. v. DRNK Coffee + Tea Franchising, LLC et al.

CASE NO.: 20STCV03704

MOTION
FOR TERMINATING SANCTIONS

Moving Party: Plaintiffs Ryan
Suavet, Laetitia Suavet Vinciguerra, and I Think I Got It, LLC (The Ghilezan
Law Firm)

Responding Party: Defendants DRNK Coffee + Tea Franchising,
LLC and Thomas Nariman (Yadidi Law Firm)

Ruling: Motion for
terminating sanctions is GRANTED.

This is a business dispute arising out of franchise
contracts and related agreements between Plaintiffs Ryan Suavet, Laetitia
Suavet Viciguerra, and I Think I Got It, LLC (Plaintiffs) and Defendants DRNK
Coffee + Tea Franchising, LLC (DRNK), 110 Sunshine Smoothies, Inc. (110SS),

Thomas Nariman, Gholam Hossein Atighehchi, and Fariba Atighehchi. Plaintiffs move for terminating sanctions against DRNK and Mr. Nariman, collectively referred to as the DRNK Defendants.

BACKGROUND

The procedural history of this case reveals a pattern of discovery abuse and other misconduct by the DRNK Defendants and a cascade of judicial sanctions imposed to remedy the impact of their misbehavior and ward off further misconduct.

On March 30, 2023, the Court issued an order, inter alia, overruling the DRNK Defendants' objections to the recommendation of Judicial Referee Hon. Kirk H. Nakamura (Ret.) to impose substantial discovery sanctions on the DRNK Defendants. (Ruling on Matters Taken Under Submission, filed 3/20/23.) The referee's recommendation ruled on Plaintiffs' motion for sanctions which argued that, in response to a court order to produce documents, the DRNK Defendants produced seven falsified franchise agreements purportedly executed by DRNK and 110 Sunshine on December 28, 2015, each with a notary's seal indicating the notary's commission was not issued until February 11, 2017. Based on Plaintiff's evidence that the agreements were falsified, Judge Nakamura initially directed DRNK to meet and confer with Plaintiffs' counsel about the authenticity problems, but ultimately "found that, while DRNK met about other discovery matters, its counsel refused to confer about the franchise agreements. Judge Nakamura noted that DRNK was 'given the opportunity to supplement its production, but did not,' 'the opportunity to explain the deficiency, but did not,' and 'the opportunity to ask for more time to provide a legitimate response, but did not.' (Referee's DRNK Report, pp. 12, 15.) In opposition to Plaintiffs' proof that franchise agreements were falsified then, Judge Nakamura was left with 'little explanation' for the deficiencies 'except for the bald assertion that there were "numerous" innocent explanations,' or in other words, no evidence at all to contest Plaintiffs' showing. (Id., p. 12, 15.)" (3/30/23 Order, p. 3.) Based on this record, Judge Nakamura recommended monetary sanctions of $18,229.25 against DRNK and its counsel, an order barring DRNK from introducing the false documents or any other written agreements executed by DRNK with 110 Sunshine, and an order shifting to DRNK all of Plaintiffs' costs in handling the dispute, including repayment of the referee's deposit. (Id.)

DRNK lodged a long list of objections to the recommendation

– all of which were overruled by this Court. In its rulings on DRNK's objections, the Court found that it had been provided with "ample opportunity to present evidence to rebut Plaintiffs' showing that falsified documents had been produced by DRNK, which refused to submit any probative evidence on the issue," and thus was accorded "[a]dequate and even fulsome due process" by Judge Nakamura. (Id., p. 5.) The Court also ruled that "Plaintiffs' evidence provided a strong foundation for Judge Nakamura to conclude that there was information in the franchise agreements produced by DRNK that was false and that, far from offering evidence to explain or rebut the deficiencies apparent on the face of those documents, DRNK and its employee, Ms. Hance, failed to offer any evidence at all that would clarify the meaning of the discrepancies revealed in the documents and/or the deposition testimony secured by Plaintiffs." (Id., p. 6.) The evidence detailed in the Court's ruling paints a vivid picture of the falsity involved in the seven franchise agreements:

The evidence proffered by Plaintiffs showed that DRNK's managing member and bookkeeper, Sherry Moaven, testified in July 2021 that her search for agreements between DRNK and 110 Sunshine turned up no documents and that she was aware of no such agreements. . . . In response to the Court's discovery order, however, DRNK produced seven Franchise Agreements in March 2022, in connection with a discovery response verified by Ms. Moaven. . . . The seven agreements were all executed on December 28, 2015 but include Notary Certificates of Acknowledgment by Cecille Hance, a DRNK employee, with an expiration date proving the stamp was not issued until February 11, 2017, more than one year after the stamp was allegedly used to notarize the signatures on the agreements. . . . The notary, Ms. Hance, testified in deposition that she received her first commission in February 2017. . . . The Franchise Agreements are suspicious too because the signature pages on six of the agreements appear to be photocopies of the signer's autograph (looks like Robert Lopez) on Franchise Agreement No. 7001, which is the only one signed in blue, as compared to the identical black signatures on the others. . . . Further, although Defendant Gholam's signature appears on the produced agreements, his deposition testimony states he never signed any documents on behalf of 110 Sunshine. . . . Also curious is the evidence that all seven franchise agreements list as the email address for the holder of legal interest in the franchise, but Ms. Hance confirmed in her deposition that this was her own email address and that she never authorized anyone else to use it. . . .

In addition to this evidence,

Plaintiffs also produced evidence that DRNK blocked and delayed Plaintiff's efforts to depose Ms. Hance and refused to meet and confer with Plaintiffs or provide any sworn declarations or other evidence to explain the facial discrepancies revealed by the seven documents produced by DRNK. . . . At her deposition, Ms. Hance admitted that the first time she notarized any document was in March 2017, that she does not recall Defendant Gholam signing the seven franchise agreements in her presence, and that she did not recognize her signature and seal on the first franchise agreement she was shown in deposition. . . . Further, neither DRNK nor Ms. Hance provided any response or explanation as to a series of significant questions, including whether they have any reason to believe that the December 28, 2015 execution date on the seven franchise agreements is inaccurate, whether Defendant Gholam's signature on the first franchise agreement used at the deposition appeared to be authentic, whether it was Ms. Hance or Defendant Fariba who affixed Gholam's signature on the document, whether the information in the Notary Certificates on the franchise agreements is true, who created the franchise agreements, and who was present when the Notary Certificates were signed. . . . While neither Judge Nakamura nor this Court may draw adverse inferences from Ms. Hance's invocation of her constitutional privilege against self-incrimination, both are plainly entitled to comment on and reach negative conclusions from the failure of a witness or party to explain or deny the significance of key evidence. (Evidence Code § 913 and Comment — Assembly Committee on Judiciary, following 913.)

(3/30/23 Order, pp. 5-6 [Citations to evidence omitted].) The Court concluded based on this evidence that the false information in the documents themselves combined with DRNK's "utter failure – nay, downright refusal – to make any effort to 'explain or deny' the falsity of the documents it produced in discovery supports Judge Nakamura's conclusion that DRNK violated this Court's order by producing these false documents accompanied by a verification that they reflected 'agreements' between DRNK and 110 Sunshine."

(Id., p. 6.) The perfidy in attempting to pass off these falsified documents as legitimate "agreements" was reinforced by DRNK's rejected contention that the production of such documents was required for full compliance with the Court's order because of their titles as "Franchise Agreements."

As the Court noted in March 2023, the idea that DRNK could legitimately produce these documents as responsive to a request for actual franchise agreements, without revealing their fraudulent character, is “offensive to the Court and to the purposes of the Discovery Act.” (Id.)

Based on these considerations, the Court overruled the DRNK Defendants’ objections to the referee’s findings and, following Judge Nakamura’s recommendations, imposed significant sanctions on these defendants.
Specifically, the Court ordered sanctions against DRNK as follows: “(1) monetary sanctions in the amount of $18,229.25 against DRNK and its attorney to be paid within 10 days of the Court’s order; (2) fact preclusion against DRNK barring introduction of the seven false documents and prohibiting DRNK from offering any other written agreements it entered into with 110 Sunshine; and (3) payment by DRNK of all costs related to the discovery referee’s handling of this dispute, including repayment of the referee’s deposit.” Consistent with Judge Nakamura’s recommendation, the Court denied additional sanctions requested, including fact preclusion sanctions barring any evidence on the issue of whether 110 Sunshine is a franchisee of DRNK, issue preclusion sanctions with respect to DRNK’s alleged role in creating the falsified documents, and the issuance of an order to show cause why DRNK should not be held in contempt. (Id., p. 7.) The Court’s ruling was expressly without prejudice to Plaintiffs’ right to seek adverse inference or other jury instructions at or before the trial of this matter. (Id.)

The Court ruled on another motion for sanctions against the DRNK Defendants on October 19, 2023. (RJN, Exhibit E [Minute Order, filed 10/19/23].) In that order, the Court sustained Plaintiffs’ objections to a different discovery referee’s wholesale denial of their motion for terminating sanctions based on the DRNK Defendants’ failure to comply with a February 22, 2022 order requiring them to produce certain documents. In sustaining some of Plaintiffs’ objections to the referee’s recommendation, the Court first ruled that the DRNK Defendants’ failure to produce any 2017 payroll records -- nearly 20 months after being ordered to do so -- should be met with a sanction precluding them from introducing any evidence “that it had anyone as an employee in 2017” and limiting the DRNK Defendants to “evidence of independent contractors identified in the 1099 forms produced.” (10/19/23 Minute Order, p. 7.) The Court also credited Plaintiffs’ contention that Defendants had failed to produce all underlying source documents substantiating their payments from 110 Sunshine to DRNK, from DCT Real Estate (a DRNK affiliate) to DRNK, and from Defendant Fariba Atighehchi to DRNK’s vendors on DRNK's behalf and rejected Defendants' excuse that no additional documents existed. (Id., p. 8.) As a sanction, the Court prohibited Defendants from introducing any documents that might be responsive to the document requests seeking the source documents and the 2017 payroll records and barred the DRNK Defendants from offering evidence to show they did not commingle employees with 110 Sunshine during 2017 or that 110 Sunshine and DRNK each paid for their own vendors. (Id., p. 10.)

At trial, Plaintiffs offered evidence that Defendants' 2017-2020 financial records exposed a differential in the payments between DRNK and 110 Sunshine that amounted to 110 Sunshine owing more than $600,000 to DRNK. (RJN Exh. J [Final Statement of Decision, filed 10/31/25], p. 27.) DRNK's sole member and manager Sherry Moavan testified at length that this discrepancy arose from 110 Sunshine's payments to third parties on DRNK's behalf and attempted to identify certain ledger entries in 110 Sunshine's records that she claimed were for specific payments she described, but she offered no documentary proof supporting her testimony. (Id., pp. 27-30.) As the Court has already found, "[t]his exercise disclosed that her testimony was largely fabricated to explain the $600,000 deficit between 110SS and DRNK revealed in her own discovery responses." (Id., p. 28.) Defendants sought to corroborate Moaven's testimony through the sworn statements of Fariba Atighehchi, but the Court found that testimony to be equally incredible. (Id.) Finally, towards the end of trial, Defendants offered an alleged Quickbooks report (Exhibit 787) which Defendants presented as having notations drawn from the Quickbooks account that corroborated Moaven's testimony about the targets of certain payments in the ledger. A comparison of this proposed exhibit and the actual Quickbooks report produced during discovery disclosed that vague "notations like 'deposit to 110 payroll' and 'deposit to general' that were in the original records had been replaced – apparently mid-trial – with labels like 'product,' 'equipment,' and 'Milsam' and 'Hoover' (to show payments to landlords)" in a transparent attempt to shore up Moaven's unsubstantiated justifications for many of the unexplained payments between the parties. (Id., p. 30.) Although the Court offered the DRNK Defendants the chance to prove that the new notations already existed in their QuickBooks files, they never even tried to do so. Based on these developments, the Court concluded that "Moaven and the DRNK defendants attempted to offer a doctored exhibit to substantiate Moaven's speculation about the nature of certain unidentified payments." The exhibit was

rejected by the Court, which also found that the "development sorely undercut Moaven's credibility in the eyes of the Court."
(Id.)

Also during the first phase of trial, on January 10, 2024, Mitchell Baker testified that in the weeks leading up to trial, he had had several conversations with Fariba Atighehchi and Mr. Nariman in which they tried to convince him not to testify or to give false testimony. As the Court wrote in its statement of decision,

Baker testified that
Fariba reached out to set up dinner with him in November 2023 on the eve of the trial. At dinner, she told Baker he had to change the testimony he gave in his deposition to get her out of this entire lawsuit. (TT 680-681.) Fariba also informed Baker that she had told Nariman that she would "ring his neck" if he failed to give Baker and Amir (Atighehchi's son) financial payouts if DRNK Franchising was sold because they had "really started the DRNK Coffee and Tea concept." (TT 682.) Fariba swore that Nariman knew nothing about her effort to reach out to Baker, but he did not believe her because the siblings are very close. (TT682.)

Nariman called Baker a
few weeks later in or about December 2023 to urge Baker to say he had been mistaken in his deposition, that he had said the wrong things, and that people do that all the time and escape any repercussions. (TT 685.) Nariman also opined that Plaintiffs had no case because of a release signed by Suavet, just as Baker was going to lose another lawsuit Nariman had pending against him. (TT 686.) Nariman suggested that Baker evade service of the trial subpoena so he would not have to testify at all at the trial in this case. (TT 687.) The next day Fariba called offering to help Baker in evading service, saying she would pay to send Baker away and cover his hotel and expenses for a couple of weeks. (TT 688-689.) Baker replied that he was uncomfortable doing that. (Id.)

Soon after, Nariman
called again to give Baker ideas about how to avoid being served with the anticipated trial subpoena and to perjure himself if he was forced to testify. (TT 689-691.) Baker expressed his fears that Nariman would retaliate against him for telling the truth by trying to get Baker fired from his job at Robeks Corporation or otherwise "taking things into his own hands." (TT 691-692.) Baker also attested to receiving multiple calls from Fariba and Nariman in

December 2023 and January 2024 leading up to the trial. (TT 694-695; Exh. 1014-1016.) During a trial break, Fariba looked Baker straight in the eyes and said, “Thank you for lying,” which made him very uncomfortable. (TT 747.) She also found Baker in the hallway and took a photo of him with her phone and then walked away. (TT 748.)

During the trial, the Court issued a no-contact order in the presence of, inter alia, Thomas Narriman, Sherry Moaven, and Fariba Atighehchi, as follows: “The Court issues an admonition to all parties not to interact with witness Mitchell Baker during the course of this trial, for the remainder of this trial and outside the context of this trial.” (Minute Order, filed January 10, 2024, p. 2.)

On March 5, 2024, Plaintiffs made an ex parte application for an order to show cause re: contempt, asserting that Mr. Nariman called Mr. Baker on February 24, 2024, and made threatening statements. The Court took the matter under submission, and on March 29, 2024, issued an order to show cause concerning the phone call. After Plaintiffs made numerous attempts to personally serve Mr. Nariman with the OSC, the Court took it off calendar on June 13, 2024, without prejudice to refiling once Mr. Nariman had been served. It was apparently never served.

On October 31, 2025, the Court issued its final statement decision on the first phase of trial in this matter, concerning alter ego issues. As noted above, the Court summarized Mr. Baker’s testimony about the communications Mr. Nariman and Ms. Atighehchi had made to him, and held:

The Court finds there is probable cause to charge Fariba and Nariman with engaging in witness tampering by trying to intimidate and/or bribe Baker to convince him to evade service of a lawful subpoena and to offer perjured testimony at trial. The Court issues an order to show cause why the Court should not impose sanctions on Fariba and/or Nariman for such misconduct and sets a hearing on the Order to Show Cause on December 16, 2025, at 9:00 a.m. Any briefs in response to the OSC are to be filed at least ten court days before the hearing.

On December 16, 2025, the Court conducted a hearing on an order to show cause why Mr. Nariman and Ms. Atighehchi should not be sanctioned for witness tampering. After reviewing their responses to the OSC, the Court found that the conduct that took place at the trial did not violate the subsequently issued no-contact order (and in fact was what motivated the no-contact order) and discharged the OSC rather than initiate proceedings for contempt.

On July 24, 2026, at the final status conference, Plaintiffs brought an ex parte application to renew their motion for terminating sanctions, contending that Mr. Nariman had violated the 2024 no-contact order in February and March 2026 by contacting Mr. Baker and threatening him. The Court issued an order permitting Plaintiffs to file updated moving papers, permitting DRNK and Mr. Nariman to file an opposition by August 4, 2026, and requiring any testimony by DRNK or Mr. Nariman to be in person.

RECENT OCCURRENCES

Mr. Baker and his brother, Jeffrey Muller, declare as follows. On February 23, 2026, Mr. Nariman, who is known to Mr. Baker as "Moe," called Mr. Baker from a blocked number. (Baker Decl., ¶¶ 2-3.) Mr. Nariman stated that Plaintiffs were "full of shit" and that Gholam Atighehchi and Fariba Atighehchi had placed their real estate assets in their children's names to prevent Plaintiffs from collecting from them. (Baker Decl., ¶ 4.) Mr. Muller was in the car and heard the conversation over the speakerphone. (Muller Decl., ¶¶ 5-6.) Mr. Nariman is known to Mr. Muller as well, and Mr. Muller recognized his voice from the several conversations he had listened in on between his brother and Mr. Nariman. (Muller Decl., ¶¶ 3-4.) Mr. Muller reports Mr. Nariman spoke with Mr. Baker about other franchisees, including "various people whom, in his words, were out to 'screw' him." (Muller Decl., ¶ 7.) Mr. Nariman later referred to a lawsuit, and asked Mr. Baker whether he would be willing to change his testimony, testify favorably for him, or just not testify in a particular way. (Muller Decl., ¶¶ 8, 9.)

On March 5, 2026, Mr. Nariman called Mr. Baker again, and Mr. Baker told him "[y]ou're not supposed to call me[.]" (Baker Decl., ¶ 6.) On that call, Mr. Nariman said he could still sue Mr. Baker or otherwise go after him. (Baker Decl., ¶ 7.) Mr. Baker states that "[d]ue to the actions of Moe and his sister Fariba at the time of my initial testimony in this trial

in January 2024, and further due to the February and March 2026 telephone calls that I received from Moe, I have serious concerns for my physical safety were I to return to the Los Angeles area in person."
(Baker Decl., ¶ 11.)

Mr. Baker presents phone records from T-Mobile showing incoming calls from a blocked number, one on February 23 at 1:37 lasting 11 minutes and one on March 5 at 1:01 lasting 12 minutes. (Baker Decl., Ex. 1-2.)

Mr. Nariman submitted no evidence with his opposition.

LEGAL STANDARDS

Courts have "inherent power to terminate litigation for deliberate and egregious misconduct—conduct that makes lesser sanctions inadequate to ensure a fair trial[,]" a power "essential for the court to preserve the integrity of its proceedings." (Stephen Slesinger, Inc. v. Walt Disney Co. (2007) 155 Cal.App.4th 736, 761 (Slesinger), accord City of Los Angeles v. Pricewaterhouse Coopers, LLP (2024) 17 Cal.5th 46, 72.) This power "restores balance to the adversary system when the misconduct of one party has destroyed it." (Slesinger, supra, 155 Cal.App.4th at 761.) "[A] court's exercise of inherent power to dismiss for misconduct need not be preceded by violation of a court order." (Id. at 764.) "The essential requirement is to calibrate the sanction to the wrong. Whether the misconduct violates a court order is relevant to the exercise of inherent power, but it does not define the boundary of the power." (Ibid.)

The decision whether to exercise the inherent power to dismiss requires consideration of all relevant circumstances, including the nature of the misconduct (which must be deliberate and egregious, but may or may not violate a prior court order), the strong preference for adjudicating claims on the merits, the integrity of the court as an institution of justice, the effect of the misconduct on a fair resolution of the case, and the availability of other sanctions to cure the harm.

(Ibid.)

DISCUSSION

First and foremost, the Court notes that Mr. Baker's and Mr. Muller's accounts are unrefuted on the current record. Although the DRNK Defendants' counsel states that "Nariman denies making either call" or "asking Baker to change, alter, withhold, omit, or falsely state testimony; asking Baker to 'say something' for him; disparaging Plaintiffs; discussing the Atighehchis' assets; or threatening to sue or 'go after' Baker to affect his testimony[,]" these assertions are unsworn and simply argument. "Argument of counsel is not evidence." (Fuller v. Tucker (2000) 84 Cal.App.4th 1163, 1173.) The fact that the record contains no counterevidence from Nariman is significant and tends to reinforce the accuracy of Mr. Baker's and Mr. Muller's accounts. (See Evid. Code § 412 ["[i]f weaker and less satisfactory evidence is offered when it was within the power of the party to produce stronger and more satisfactory evidence, the evidence offered should be viewed with distrust.")

The DRNK Defendants contend that the records do not identify Mr. Nariman, but only a blocked number. That is true, and consistent with Mr. Baker's and Mr. Muller's declaration testimony that Mr. Nariman called from a blocked number, but they both attest to recognizing his voice. Given that Mr. Nariman has not come forward with any evidence disputing their identification of him on the phone, the blocked number shown on the records does not undermine their account of what happened.

The DRNK Defendants contend that Mr. Baker did not hang up on Mr. Nariman either time, and did not report the conversations before Plaintiffs' counsel learned of them in July 2026. All those facts are true, but do not seemingly have any bearing on Mr. Baker's credibility. The DRNK Defendants remain free to appropriately cross-examine him on this issue.

The DRNK Defendants contend that the declarations do not provide matching accounts of the conduct in question, in that only Mr. Muller testifies that Mr. Nariman asked Mr. Baker to change his testimony, and Mr. Baker does not say so. The Court does not find the variations material. Both Mr. Baker and Mr. Muller testify that the February 23 call occurred, which is a violation of the Court's no-contact order. The DRNK Defendants can probe the inconsistencies in the brothers' accounts at the hearing on this motion. The Court notes that Mr. Baker's account of the March 5, 2026 call remains unrefuted on the record, including Mr. Nariman's comment to Mr. Baker that he could still sue him or otherwise go after him, which Mr. Baker interpreted as a threat to dissuade him from testifying further in this matter. (See Baker Decl., ¶ 7.)

On this record, the Court is satisfied that at a minimum, Mr. Nariman called Mr. Baker on these two occasions after being ordered to have no contact with him, and seemingly for the purpose of dissuading him from appearing as a witness in this matter. This comes on the heels of a long history of discovery abuse and other fraudulent conduct discussed above. The Court will now apply the Slesinger factors to the conduct to determine whether terminating sanctions against the DRNK Defendants are appropriate.

In addition to finding that they failed to produce a list of documents ordered for production, the Court has already determined that the DRNK Defendants sought to present falsified franchise agreements in response to a Court order. As described above, the factual circumstances of that discovery abuse are egregious, including the illegal use of a notary's seal and the apparent forgery of signatures on seven documents manufactured for production in discovery to advance Defendants' position in this action. The Court has also found the DRNK Defendants fabricated evidence at trial in the form of the doctored QuickBooks report, and they never showed nor even attempted to show that the apparently manipulated documents were genuine. This was plainly deliberate, in that it was intentional, unlikely to have been an accident, and it was never shown that it was the result of a mistake or anything other than an intentional attempt to deceive the Court as factfinder. It was egregious, in that it was aimed at influencing the Court in its role to find facts based on true evidence and testimony, and had it been successful, it would have resulted in evidence in the record that was never produced to Plaintiffs and which stood for false propositions.

The Court has also already determined that Mr. Nariman and Ms. Atighehchi (both of whom the Court has found to be alter egos of DRNK) contacted Mr. Baker prior to the start of trial and urged him to recant his testimony, give false testimony, or disappear to avoid service. This too was plainly deliberate, not accidental, and egregious in that it was likewise aimed at impairing the integrity of the Court's factfinding and caused Mr. Baker to fear for his safety. Although it did not violate the Court's later-entered no-contact order, it was precisely this misconduct that caused the Court to enter that order and would have violated it had the order already been in place.

The recent calls were clearly deliberate, as they were not made accidentally, and the fact that they were made from a blocked number bespeaks Mr. Nariman's knowledge that what he was doing was wrong and it would be better if there were not a clear record of it. Mr. Nariman's conduct was egregious, in that it happened twice, and was clearly motivated by a desire to coerce or at least dissuade Mr. Baker from testifying against the DRNK Defendants. This is consistent with Mr. Nariman's and Ms. Atighehchi's earlier conduct, in which they told Mr. Baker not to testify, urged him to recant prior testimony, and sought to induce him to leave town to avoid being served with a trial subpoena, all of which the Court has already determined happened. The calls in February and March also violate the Court's order to have no contact with Mr. Baker, which is also egregious and, indeed, contemptuous of the Court's authority.

For all these reasons, the DRNK Defendants' conduct was "deliberate and egregious," at times violative of a court order, threatening "the integrity of the court as an institution of justice" and affecting the fair resolution of this case. (See Slesinger, supra, 155 Cal.App.4th at 761.) The strong preference in favor of adjudication on the merits (see Ibid.) is outweighed by these concerns, and as Plaintiffs note, the DRNK Defendants' conduct strikes directly on the ability to adjudicate the merits fairly. The only question that remains is the availability of lesser sanctions.

Plaintiffs have demonstrated that the Court's prior orders have been ineffective to control Mr. Nariman's conduct, as he deliberately contacted Mr. Baker despite being explicitly ordered not to do so, and he appears to have made contact through a blocked number to eliminate the kind of evidence submitted during trial to corroborate Mr. Baker's account of the unwanted calls he received. The record also shows that the misconduct of Mr. Nariman and DRNK – a company which Nariman dominated and controlled in every aspect of its operations (Final Statement of Decision, p. 50) – has not been curbed in the least by the torrent of sanctions already imposed on them during this action. As Plaintiffs note, the Court has already imposed monetary sanctions of $18,229.25 on the DRNK Defendants, shifted the burden of Plaintiffs' substantial discovery referee costs to the DRNK Defendants, prohibited them from introducing fabricated documents, imposed evidentiary and issue sanctions on them, precluded them from presenting unproduced evidence through in limine orders, and ordered all defendants to have no contact with Mr. Baker, all to no avail in preventing the conduct now presented to the Court. The record supports the Court's clear conclusion that no sanction less than termination of the DRNK Defendants' ability to defend this case will stop their onslaught of litigation misconduct.
Indeed, given these defendants' involvement in falsifying key agreements during discovery, fabricating an important exhibit for trial, and attempting to suborn perjury from a key witness for Plaintiffs, the Court is persuaded that it has no safeguards available to it to protect the truth-seeking process from the DRNK Defendants' attacks on that process. Terminating sanctions are the only method of curing the prejudice to Plaintiffs occasioned by the DRNK Defendants' misconduct and ensuring that no further predations undermine the integrity of the Court's proceedings going forward. As a result, the Court grants the motion for terminating sanctions.

CONCLUSION

For the foregoing reasons, the Court's tentative ruling is to GRANT the motion for terminating sanctions, strike the answers of defendants DRNK Coffee + Tea Franchising, LLC and Thomas Nariman, and enter their defaults. Plaintiffs are to give notice.